MARGINAL RATE OF TECHNICAL SUBSTITUTION

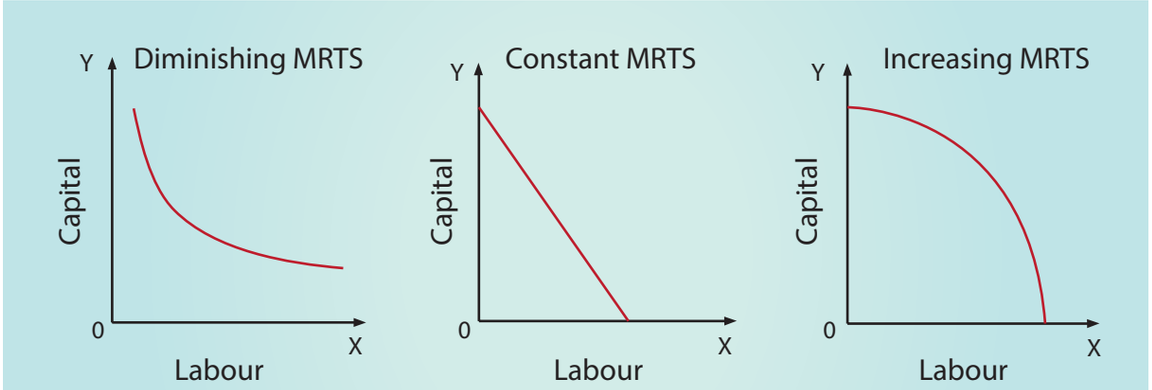


Diagram 3.6

unit of labour goes on decreasing when the iso-quant is convex to the origin.

3. **Non inter-section of Iso-quant curves.**

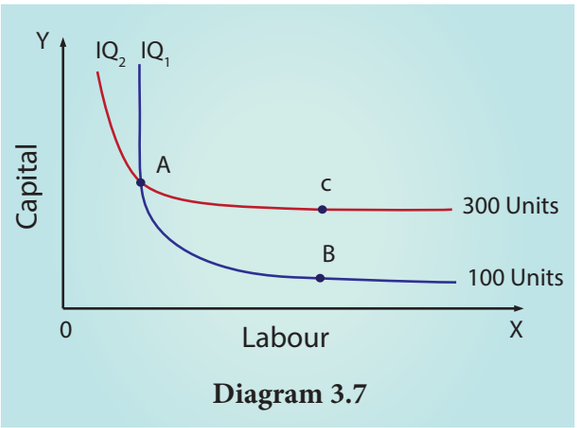


Diagram 3.7

For instance, point A lie on the iso-quants IQ_1 and IQ_2. But the point C shows a higher output and the point B shows a lower level of output IQ_1. If C=A, B=A, then C=B. But C>B which is illogical.

4. **An *upper iso-quant curve represents a higher level of output*.**

Higher IQ_2 show higher outputs and lower IQ_1 show lower outputs, for upper iso-quant curve implies the use of more factors than the lower isoquant curve.

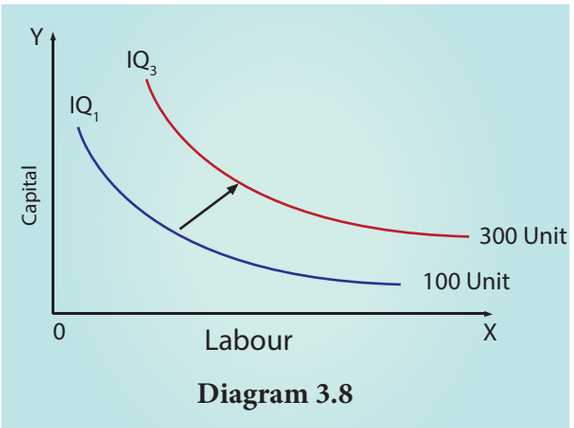


Diagram 3.8

The arrow in the figure shows an increase in the output with a right and upward shift of an iso-quant curve.

5. ***Iso-quant curve does not touch either X axis or Y axis.***

No iso-quant curve touches the X axis or Y axis because in IQ_1, only capital is used, and in IQ_2 only labour is used.

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